

9. 9:00 AM CASE NUMBER: C24-01538
CASE NAME: FULLER PROPERTIES, LLC VS. SEQUOIA EQUITIES, INC.
HEARING ON DEMURRER TO: 2ND AMENDED COMPLAINT (CONTINUED FROM 2/23/26)
FILED BY: SEQUOIA EQUITIES, INC.
TENTATIVE RULING:

Before the Court is a demurrer by defendants Sequoia Equities, Inc. and Alder Creek Management to the second amended complaint. For the reasons set forth, the Court rules as set forth below.

Background

Plaintiffs Fuller Properties, LLC and approximately 21 other entities allege they are the owners of multifamily apartment buildings which are managed by defendants Sequoia Equities, Inc. and Alder Creek Management, Inc. (Sec. Am. Compl. ("2AC") ¶¶ 4, 38, 40, 43.) Plaintiffs allege each of them entered into written Management and Leasing Agreements, a form of which is attached to the 2AC as Exhibit A. (2AC ¶ 43 and Exh. A.) Plaintiffs allege that there is a unity of interest between Sequoia and Alder Creek and/or that Sequoia was acting as agent for Alder Creek in the acts and omissions alleged in the 2AC, as well as that Sequoia and Alder Creek, along with another defendant COIT Financial Group, LLC, operate as a single enterprise as the basis for their claims against Alder Creek. (2AC ¶¶ 27-35, 39-42.) Plaintiffs generally allege Sequoia and Alder Creek mismanaged the properties owned by Plaintiffs, causing them damage.

In response to the filing of Plaintiffs' original complaint, the Court's register of actions shows Sequoia and Alder filed a demurrer that was not heard by the Court, as Plaintiffs filed a first amended complaint ("FAC"), and the hearing on the demurrer to the original complaint was vacated. Sequoia and Alder Creek then filed a motion for judgment on the pleadings as to the FAC, which alleged eleven causes of action against them. The motion sought judgment on nine of the 11 causes of action. The motion was granted in part, with leave to amend, and denied in part. (12/8/2025 Min. Order; Def. RJN ¶ 5 and Davidson Decl. Exh. 5 [Not. of Ruling filed 12/12/2025].) Plaintiffs then filed the current 2AC alleging seven causes of action.

Legal Standards Governing Demurrer

In ruling on the demurrer, the Court must accept as true all well-pleaded factual allegations of the complaint, but not legal or factual conclusions or contentions of law. (*City of Dinuba v. County of Tulare* (2007) 41 Cal. 4th 859, 865; *Julian v. Mission Community Hospital* (2017) 11 Cal.App.5th 360, 374.) The Court gives "the complaint a reasonable interpretation, reading it as a whole and its parts in their context. [Citation omitted.]" (*Evans v. City of Berkeley* (2006) 38 Cal. 4th 1, 6.) (See also Code Civ. Proc. § 452.) In ruling on a demurrer, the Court also considers matters of which the Court can properly take judicial notice. (*Evans, supra*, 38 Cal.4th at 6; *Carloss v. County of Alameda* (2015) 242 Cal. App.4th 116, 123.)

In determining whether the complaint states a cause of action, the Court evaluates "whether a cause of action has been stated under any legal theory. [Citation omitted.]" (*Gomez v. Regents of University of California* (2021) 63 Cal.App.5th 386, 391.) (See also *Quelimane Co. v. Stewart Title Guaranty Co.* (1998) 19 Cal.4th 26, 38-39.) A demurrer must dispose of an entire cause of action. (*Daniels v. Select*

Portfolio Servicing, Inc. (2016) 246 Cal.App.4th 1150, 1167, overruled in part on other grounds by *Sheen v. Wells Fargo Bank, N.A.* (2022) 12 Cal.5th 905, 919; *PH II, Inc. v. Superior Court* (1995) 33 Cal.App.4th 1680, 1682-1683.)

Generally, a complaint is sufficient if it pleads "ultimate" facts. (*C.A. v. William S. Hart Union High School Dist.* (2012) 53 Cal.4th 861, 872; *Doe v. City of Los Angeles* (2007) 42 Cal.4th 531, 549-550.) "Ultimately, the complaint is sufficient if 'the adversary has been fairly apprised of the factual basis of the claim against him.' [Citations, internal quotations omitted.]" (*Randall v. Ditech Financial, LLC* (2018) 23 Cal.App.5th 804, 810.) If a complaint fails to state a cause of action but there is a reasonable possibility of amendment to cure the deficiencies, then leave to amend must be granted. (*Quelimane Co. v. Stewart Title Guaranty Co., supra*, 19 Cal.4th at 39.)

Defendants' Request for Judicial Notice

The Court **GRANTS** the requests for judicial notice of the 2AC and the Notice of Ruling on the prior motion for judgment on the pleadings, subject to the applicable limitations on judicial notice as the Court does not take judicial notice of the truth or interpretation of the content of the documents where reasonably disputable. (RJN ¶¶ 1, 5; Davidson Decl. Exhs. 1, 5; Evid. Code § 452(d); *StorMedia, Inc. v. Superior Court* (1999) 20 Cal.4th 449, 457, fn. 9 [judicial notice does not extend to the truth or proper interpretation of a pleading to the extent reasonably disputable]; *Fremont Indemnity Co. v. Fremont General Corp.* (2007) 148 Cal.App.4th 97, 113-115 [same]; *Sosinsky v. Grant* (1992) 6 Cal. App. 4th 1548, 1569 [judicial notice of prior order or judgment].)

The Court **DENIES** demurring defendants' request for judicial notice of the pleadings and register of actions of the related case, *Ross et al. v. Sequoia Equities, Inc., et al.*, Case No. C23-02401 (Class Action) and the statement of information for a different defendant, COIT Financial Group, LLC, as irrelevant to determination of the demurrer by Sequoia and Alder Creek. (Davidson Decl. Exhs. 2, 3, 4, and 6; *Jordache Enterprises, Inc. v. Brobeck, Phleger & Harrison* (1998) 18 Cal.4th 739, 748, fn. 6 [judicial notice denied where "the requests present no issue for which judicial notice of these items is necessary, helpful, or relevant"].)

Procedural Objection to Demurrer Based on Insufficient Notice of Hearing

The original hearing on the demurrer by Sequoia and Alder was set for February 23, 2026, less than 16 court days plus time for electronic service, as the demurrer was filed and served on January 21, 2026. Plaintiffs nevertheless provided a full opposition on the merits of the demurrer. In any event, the Court continued the hearing on the demurrer *sua sponte* to April 27, 2026 and advanced the June 8, 2026 hearing on the COIT demurrer (being heard concurrently). The parties then stipulated to continue the April 27, 2026 hearing, and the hearing was reset to this date, June 22, 2026. Any notice deficiency has been cured under the circumstances, and the Court finds no prejudice to Plaintiffs at this point from any defect in the original notice for the February 23, 2026 hearing.

Analysis

Alder Creek demurs to the 2AC as a whole for failure to allege sufficient facts against Alder Creek, arguing that the alter ego allegations made against it are insufficient. Sequoia and Alder Creek also make general demurrers and special demurrers for uncertainty to the first C/A (breach of fiduciary duty), second C/A (fraud and intentional misrepresentation), fourth C/A (negligent interference with

prospective business advantage), and fifth C/A (broker's constructive fraud).

A. Alder Creek's Demurrer to the 2AC in Its Entirety

The California Supreme Court set forth the two general elements necessary to allege liability based on piercing the corporate veil under an alter ego theory. "There is no litmus test to determine when the corporate veil will be pierced; rather the result will depend on the circumstances of each particular case. There are, nevertheless, two general requirements: '(1) that there be such unity of interest and ownership that the separate personalities of the corporation and the individual no longer exist and (2) that, if the acts are treated as those of the corporation alone, an inequitable result will follow.' [Citation omitted.] And 'only a difference in wording is used in stating the same concept where the entity ought to be held liable is another corporation instead of an individual.' [Citation omitted.]" (*Mesler v. Bragg Management Co.* (1985) 39 Cal.3d 290, 300.) (*See also Leek v. Cooper* (2011) 194 Cal.App.4th 399, 415 415.) The Court also commented, "An employee who seeks to hold a parent corporation liable for the acts or omissions of its subsidiary on the theory that the two corporate entities constitute a single employer has a heavy burden to meet under both California and federal law. Corporate entities are presumed to have separate existences, and the corporate form will be disregarded only when the ends of justice require this result." (*Mesler, supra*, 39 Cal.3d at 300.)

COIT relies on *Tran v. Farmers Group, Inc.* (2002) 104 Cal.App.4th 1202 as setting for the standards for pleading alter ego or a single enterprise. That case involved an interinsurance exchange and reversed an order for summary adjudication for the defendant companies that were the attorneys-in-fact for the interinsurance exchange based in part on an alter ego or single enterprise theory. (*Id.* at 1218-1219 ["An interinsurance exchange is not a corporation, but we see no reason why the distinction between the exchange and its attorney-in-fact may not be disregarded in cases meeting the requirements of the 'alter ego' or 'single enterprise' doctrine authorizing disregard of the corporate entity. [Citations omitted.] . . . [¶] Two conditions are generally required for application of the doctrine to two related corporations: (1) such a unity of interest and ownership that the separate corporate personalities are merged, so that one corporation is a mere adjunct of another or the two companies form a single enterprise; and (2) an inequitable result if the acts in question are treated as those of one corporation alone. [Citations omitted.] Whether these conditions have been satisfied is a question of fact. [Citations omitted.]"].)

" 'Among the factors to be considered in applying the [alter ego] doctrine are commingling of funds and other assets of the two entities, the holding out by one entity that it is liable for the debts of the other, identical equitable ownership in the two entities, use of the same offices and employees, and use of one as a mere shell or conduit for the affairs of the other.' [Citations omitted.] Other factors which have been described in the case law include inadequate capitalization, disregard of corporate formalities, lack of segregation of corporate records, and identical directors and officers. [Citations omitted.] No one characteristic governs, but the courts must look at all the circumstances to determine whether the doctrine should be applied. [Citation omitted.]" (*Sonora Diamond Corp. v. Superior Court* (2000) 83 Cal. App. 4th 523, 538-539.)

Plaintiffs allege Alder Creek is a real estate entity licensed in California and "a multi-dwelling residential apartment, investor, owner, developer and property management company." (2AC ¶ 28.) Plaintiffs allege Alder Creek is the parent of Sequoia. (2AC ¶ 28.) Plaintiffs allege Sequoia and Alder

Creek "collectively" do business as Sequoia, alleging Melinda Pederson is a licensed California real estate broker who is a "Designated Officer" for both Sequoia and Alder Creek. (2AC ¶ 29.) The 2AC then defines "Sequoia" as used thereafter in the 2AC as "Sequoia." (2AC ¶ 29.) The 2AC does not allege that Alder Creek is a party to the Sequoia Management Agreements. (2AC ¶ 43 and Exh. A.)

Plaintiffs make a series of allegations on which they base their contention that Alder Creek is responsible or liable for the acts and omissions of Sequoia because of a "unity of interest and ownership" between the entities. (2AC ¶¶ 30-33.) The list of facts alleged to support the existence of a unity of interest and ownership are (1) the officers and directors of Sequoia and Alder Creek are the same based on Secretary of State filings; (2) "the same individuals direct the specific business operations, policies, and decisions of both entities simultaneously"; (3) Alder Creek "exercises complete dominion and control over" Sequoia's "daily operations" such that Sequoia has no "mind" or "will" of its own; (4) on information and belief, Sequoia and Alder Creek "commingle funds and assets, share offices and employees," and that Alder Creek "treats Sequoia's assets as its own"; (5) on information and belief, Sequoia is a "mere shell or instrumentality" through which Alder Creek conducts its property management business; (6) Sequoia and Alder Creek operate at the same business location and use "the exact same administrative staff and computer software to process tenant payments, rendering their assets indistinguishable in the ordinary course of business"; and (7) Bill Brooks (President and CEO) and Melinda Pederson executed the Management Agreements and "simultaneously held executive officer positions" at both entities. (2AC ¶¶ 30, 31.) As noted, most of the facts alleged are not alleged on information and belief.

Plaintiffs have also added allegations regarding why an "inequitable result" would follow if the separate corporate existence of the entities is not disregarded. (*Mesler, supra*, 39 Cal.3d at 300.) Specifically, they allege Alder Creek "directed the wrongful conduct described herein because their policies included the bulk processing of tenant security deposits, knowingly overcharging of Plaintiffs for management fees, charging Plaintiffs fees and expenses that were not authorized under the [Management] Agreements such as travel and lodging for Defendants' employees, providing unauthorized housing for Defendants' employees at Plaintiffs' properties with no security deposit or rent payments, fabricating receipts which included charging Plaintiffs for the amounts stated on work orders or estimates after the work was performed resulting in both the overcharging and under charging of Plaintiffs and Plaintiffs' tenants, and using Plaintiffs' rental proceeds to cover Defendants' corporate expenses. These acts were all corporate directives established by Bill Brooks and Melinda Pedersen acting as dual executives" of Alder Creek and Sequoia "as controllers of the entire enterprise." (2AC ¶ 31.) Notably, these facts are not alleged on information and belief.

Plaintiffs also allege inequity if the corporate veil between Alder Creek and Sequoia is not pierced because they allege on information and belief that Sequoia is undercapitalized for the business it conducts. (2AC ¶ 32.) They allege that if the acts alleged in the 2AC are treated as those of Sequoia alone, Plaintiffs are at risk of not being able to recover fully for their damages. (2AC ¶ 32.) In the alternative, Plaintiffs also allege, on information and belief, that Sequoia's conduct alleged in the 2AC was in the capacity as Alder Creek's agent "within the course and scope of such agency and employment and with the permission and consent" of Alder Creek, making Alder Creek vicariously liable for Sequoia's acts and omissions. (2AC ¶ 33.)

Plaintiffs' allegations in the 2AC must be taken as true in ruling on a demurrer no matter how improbable and regardless of whether Plaintiffs can ultimately prove the facts alleged. (*Del E. Webb Corp. v. Structural Materials Co.* (1981) 123 Cal. App. 3d 593, 604; *Universal By-Products, Inc. v. City of Modesto* (1974) 43 Cal.App.3d 145, 151.) The facts alleged in the 2AC are sufficient to allege grounds for piercing the corporate veil as to Alder Creek as Sequoia's parent. Plaintiffs have alleged facts that would support a finding of unity of interest and ownership and lack of separateness of the two corporations. They have also alleged facts, if proven, that Alder Creek directed or controlled the allegedly wrongful conduct of Sequoia alleged in the 2AC, that it would be inequitable to enforce the fiction of the entities' separate existence under the circumstances, and that the separate corporate form should be disregarded because the ends of justice so require. There are sufficient facts alleged which provide a basis for those allegations made based on Plaintiffs' information and belief from the parent status of Alder Creek, the overlapping identical responsible officers' management and control over both entities, and Alder Creek's alleged imposition and direction of many corporate policies and practices of Sequoia regarding the property management functions and services alleged to be wrongful.

The 2AC has adequately alleged alter ego or single enterprise as to Alder Creek and Sequoia, and as set forth above, the 2AC defines "Sequoia" to include both entities. (2AC ¶¶ 29-32.) Plaintiffs allege that Mr. Brooks and Ms. Pederson were acting for both Sequoia and Alder Creek. (2AC ¶ 31.) Plaintiffs alternatively allege, with the foundation of the preceding allegations, that Sequoia is acting as agent for Alder Creek and have vicarious liability for Sequoia's acts and omissions. (2AC ¶ 33.) To the extent the first, second, fourth, and fifth causes of action are adequately stated against Sequoia, they are also adequately stated against Alder Creek in light of these allegations. To the extent any of the claims fail against Sequoia, they also fail against Alder Creek.

A. Breach of Fiduciary Duty – 1st C/A

In their FAC, Plaintiffs alleged that under the Management Agreements, Sequoia (and Alder) agreed to act as fiduciaries in managing the properties owned by Plaintiffs under that agreement. The FAC alleged a number of ways that the defendants allegedly failed to comply with their duties under the Management Agreements. The Court granted Sequoia's and Alder's motion for judgment on the pleadings as to this cause of action, with leave to amend. (Not. of Rul. filed 12/12/2025.)

The Court concluded that the allegations of the FAC in the breach of fiduciary duty cause of action were grounded in the Management Agreements and defendants' alleged incompetent or negligent performance of those agreements, specifically that defendants failed to exercise "ordinary care and diligence" in performing their obligations. (Not. of Rul. filed 12/12/2025.) The Court also concluded that based on the allegations in the FAC founded on negligent performance of duties (fiduciary or not) undertaken by defendants under the Management Agreements and financial loss as Plaintiffs' resulting injury, the economic loss rule barred this cause of action.

Plaintiffs have now attempted to correct those deficiencies in the 2AC to state a breach of fiduciary duty cause of action founded on an independent intentional tort. Demurring parties do not contest that as agents and managers of Plaintiffs' properties, they owed fiduciary duties to their principals. The FAC alleges that in violation of those duties, including the duty of loyalty, demurring parties engaged in intentional, tortious conduct by theft and misappropriation of Plaintiffs' rents for their

own business purposes and by creation of false vendor receipts and invoices. (2AC ¶¶ 31 [alleging defendants policies included "fabricating receipts which included charging Plaintiffs for the amounts stated on work orders or estimates after the work was performed resulting in both the over charging and under charging of Plaintiffs and Plaintiffs' tenants, and using Plaintiffs' rental proceeds to cover Defendants' corporate expenses."] and 55 [alleging the defendants "breached their duty of loyalty by engaging in self-dealing through the fabrication of vendor receipts and misappropriation of Plaintiffs' funds for Defendants' own corporate use. This conduct falls outside the scope of the agency contemplated by the Agreements and constitutes a distinct tortious injury separate from the economic losses caused by the breach of contract."].)

1. What Constitutes Theft

Plaintiffs allege "affirmative, intentional misconduct and theft." (2AC ¶ 55.) The Court rejects the argument that at least part of the conduct alleged does not constitute "theft." (MPA ISO Dem. p. 6, ll. 23-27 [arguing theft "is the taking of personal property from the owner, not retaining money on the basis of a misrepresentation, which is fraud," citing *People v. Walther* (1968) 263 Cal.App.2d 310, 313, 316 322-3234, in which the defendant was convicted of grand theft under Penal Code section 484].) Obtaining property by fraud is a form of theft under Penal Code section 484. (Pen. Code § 484(a) [a person who commits theft includes a person "who shall fraudulently appropriate property which has been entrusted to him or her, or who shall knowingly and designedly, by any false or fraudulent representation or pretense, defraud any other person of money, labor or real or personal property."].)

2. No Violation of Sham Pleading Doctrine

Demurring parties raise the "sham pleading" doctrine, arguing that Plaintiffs have changed the factual basis of their breach of fiduciary duty claim in their 2AC. (*Deveny v. Entropin, Inc.* (2006) 139 Cal.App.4th 408, 425-427.) "Under the sham pleading doctrine, plaintiffs are precluded from amending complaints to omit harmful allegations, without explanation, from previous complaints to avoid attacks raised in demurrers or motions for summary judgment. [Citation omitted.] . . . [¶] The sham pleading doctrine is not ' "intended to prevent honest complainants from correcting erroneous allegations . . . or to prevent correction of ambiguous facts." ' [Citation omitted.] Instead, it is intended to enable courts ' "to prevent an abuse of process." ' [Citation omitted.]" (*Id.* at 426 [emphasis added].) "A pleader may not attempt to breathe life into a complaint by omitting relevant facts which made his previous complaint defective. [Citation omitted.] . . . 'A litigant should not be allowed to abuse the privilege of amendment. If the amended pleading is only a sham, and it is apparent that no cause of action can truthfully be stated, the court should disregard that pleading.' " (*Hills Transp. Co. v. Southwest Forest Industries, Inc.* (1968) 266 Cal.App.2d 702, 713.) (*See also Nolte v. Cedars-Sinai Medical Center* (2015) 236 Cal.App.4th 1401, 1406 [" 'A plaintiff may not avoid a demurrer by pleading facts or positions in an amended complaint that contradict the facts pleaded in the original complaint or by suppressing facts which prove the pleaded facts false.' [Citation omitted.]"]].)

The Court does not find that the current allegations of intentional misconduct directly contradict the prior allegations so as to invoke the sham pleading doctrine. To the extent Plaintiffs have omitted facts to support negligence, they offer an explanation for doing so, specifically to amend in light of the

deficiencies noted in the Court's prior ruling.

3. Intentional Tort Outside Economic Loss Rule

They have alleged intentional tortious conduct in violation of a tort duty independent of the contract, which is an exception to the economic loss rule as stated in *Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal.5th 1. The independent tort Plaintiffs allege is not unlike the fraudulent repair documents that the Court held gave rise to an independent tort that could be pursued by the plaintiff in *Robinson Helicopter Co., Inc. v. Dana Corp.* (2004) 34 Cal.4th 979. The economic loss rule does not bar the breach of fiduciary duty cause of action as now alleged in the 2AC.

Demurring parties argue this cause of action is also barred by the economic loss doctrine, citing *Sheen v. Wells Fargo Bank* (2022) 12 Cal.5th 905. In *Sheen*, a borrower sued his mortgage lender for negligence. In that context, the Court addressed the economic loss rule, which the Court held barred the negligence claim. The Court explained, In general, there is no recovery in tort for negligently inflicted 'purely economic losses,' meaning financial harm unaccompanied by physical or property damage. [Citations omitted.] [¶] The economic loss rule has been applied in various contexts. First, it carries force when courts are concerned about imposing ' "liability in an indeterminate amount for an indeterminate time to an indeterminate class." ' [Citation omitted.] [¶] In another recurring set of circumstances, the rule functions to bar claims in negligence for pure economic losses in deference to a contract between litigating parties. [Citations omitted.] . . . The Restatement states this form of the economic loss rule thusly: '[T]here is no liability in tort for economic loss caused by negligence in the performance or negotiation of a contract between the parties.' [Citation omitted.]" (*Id.* at 922-923.)

The California Supreme Court recently addressed the economic loss rule in *Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal.5th 1 in the context of the intentional tort of fraudulent concealment. The Court pointed to another description of the rule in the *Robinson* case: "[A]s *Robinson* phrased the rule: '[t]he economic loss rule requires a [contractual party] to recover in contract for purely economic loss due to disappointed expectations, unless [the party] can demonstrate harm above and beyond a broken contractual promise.' [Citation omitted.]" (*Id.* at 20 [quoting *Robinson Helicopter Co., Inc. v. Dana Corp.* (2004) 34 Cal.4th 979, 988].) The Court in *Rattagan* explains that tort and contract obligations differ. "A tortfeasor is held liable not for violating a contract, but for violating an independent legal duty. [¶] [T]o be held liable in tort, a defendant must commit a tort. If all the defendant has allegedly done is violate the terms of the parties' contract, depriving the plaintiff of the benefits the contract ensures, the defendant's liability is limited by the contract. Broader tort liability only arises if a defendant violates an independent legal duty and the type of harm that ensues was not reasonably contemplated or accounted for by the contractual parties." (*Id.* at 37 [emphasis added].) *Rattagan* and *Robinson Helicopter Co., Inc. v. Dana Corp.* (2004) 34 Cal.4th 979 held claims grounded in intentional misrepresentation or fraudulent concealment were not barred by the economic loss rule, to the extent the fraud or concealment violates an independent legal duty and is not based solely on a breach of the contract terms. (*Rattagan, supra*, 17 Cal.5th at 30-38 [explaining the *Robinson* decision] and 42-45 [holding economic loss rule does not bar claim for fraudulent concealment, not just claim for fraud based on affirmative misrepresentations].)

In the 2AC, Plaintiffs allege the basis for their breach of fiduciary duty claim is intentional misconduct, consisting of misappropriation of Plaintiffs' funds entrusted to them for handling as Plaintiffs' agents

and creation of fabricated vendor receipts. (2AC ¶¶ 31, 55.) These allegations, which the Court accepts as true on demurrer, take the claim outside the bar of the economic loss rule.

4. Pleading Fraud with Specificity

Demurring parties argue that the basis of the claim for the breach of fiduciary duty cause of action is fraud which must be pled with specificity, and the 2AC does not meet the specificity standards of the case law. Fraud must be pled with specificity: the plaintiff is required to plead the "who, what, when, and where" of the alleged misrepresentation. (*Lazar v. Superior Court* (1996) 12 Cal.4th 631, 645) "A plaintiff's burden in asserting a fraud claim against a corporate employer is even greater. In such a case, the plaintiff must 'allege the names of the persons who made the allegedly fraudulent representations, their authority to speak, to whom they spoke, what they said or wrote, and when it was said or written.' " (*Id.* [quoting *Tarmann v. State Farm Mutual Auto. Ins. Co.* (1991) 2 Cal. App. 4th 153, 157].) The elements of fraud are " '(a) misrepresentation (false representation, concealment, or nondisclosure); (b) knowledge of falsity (or "scienter"); (c) intent to defraud, i.e., to induce reliance; (d) justifiable reliance; and (e) resulting damage.' [Citations omitted.]" (*Lazar, supra*, 12 Cal.4th at 638.)

Plaintiffs identify Mr. Brooks and Ms. Pederson as the persons responsible for the corporate policies which they allege resulted in the fabrication of the false vendor invoices. (2AC ¶ 31.) They allege the policies included "fabricating receipts which included charging Plaintiffs for the amounts stated on work orders or estimates after the work was performed resulting in both the over charging and under charging of Plaintiffs and Plaintiffs' tenants, and using Plaintiffs' rental proceeds to cover Defendants' corporate expenses." (2AC ¶ 31.) Plaintiffs reiterate their allegations of fabricated vendor receipts and self-dealing by use of Plaintiffs' funds for defendants' corporate expenses in paragraph 55. Collectively, these facts allege the who, what, and how of the fraudulent conduct on which the cause of action is based. As to the when, the sample Management Agreement, Exhibit A to the 2AC, is dated January 1, 2022, and this action commenced on June 7, 2024, setting a time frame for the misappropriation and issuance of fabricated invoices based on the commencement of defendants' management. Given the number of Plaintiffs each with its own Management Agreement and the number of individual transactions presumably involved, and the fact that defendants as the entities that maintain all the financial records pertinent to the use of Plaintiffs' funds and the vendor invoices, the Court finds the allegations are sufficiently specific under the circumstances to state this cause of action, considering the rules of pleading that allow more leniency in pleading when the facts are more likely in the possession of the defendant rather than the plaintiff even in the context of a claim with a heightened pleading standard. (*Committee on Children's Television, Inc. v. General Foods Corp.* (1983) 35 Cal.3d 197, 216, superseded by statute on other grounds [for fraud claims, "Less specificity is required when 'it appears from the nature of the allegations that the defendant must necessarily possess full information concerning the facts of the controversy,' [citation omitted]; '[e]ven under the strict rules of common law pleading, one of the canons was that less particularity is required when the facts lie more in the knowledge of the opposite party . . . ' [Citation omitted.]"; *Alfaro v. Community Housing Improvement System & Planning Assn., Inc.* (2009) 171 Cal. App. 4th 1356, 1384 [addressing fraudulent nondisclosure claim, stating " 'considerations of practicality enter in' when multiple plaintiffs and defendants are involved. [Citation omitted.]"].) The 2AC with these additional allegations fairly apprises demurring defendants of the factual basis for the claim and meets the

specificity requirement under the circumstances. (*Randall v. Ditech Financial, LLC, supra*, 23 Cal.App.5th at 810.)

B. Fraud and Intentional Misrepresentation – 2nd C/A

The Court has set forth above the general standards for pleading fraud, as well as the applicable law regarding the economic loss rule.

Plaintiffs' fraud theory remains one of promissory fraud, promise made without intent to perform. " 'Promissory fraud' is a subspecies of the action for fraud and deceit. A promise to do something necessarily implies the intention to perform; hence, where a promise is made without such intention, there is an implied misrepresentation of fact that may be actionable fraud. [Citations omitted.]" (*Lazar, supra*, 12 Cal.4th at 638.) To state a claim for fraud based on a false promise the complaint must allege more than the promises and the defendant's failure to perform. Plaintiffs must allege additional facts and circumstances that support an inference of a promise made without intent to perform, instead of an agreement honestly made that was not performed. (*Tarmann, supra*, 2 Cal.App.4th at 159 ["Simply put, making a promise with an honest but unreasonable intent to perform is wholly different from making one with no intent to perform and, therefore, does not constitute a false promise."].) (See also *Hills Transp. Co. v. Southwest Forest Industries, Inc.* (1968) 266 Cal.App.2d 702, 708 ["In so differentiating a false promise from the great bulk of broken promises, the allegations necessary to show contemporaneous intention not to perform should be clear, specific, and unequivocal. [Citations omitted.]"].)

Plaintiffs allege the representations made by demurring defendants were made when Mr. Brooks and Ms. Pederson signed the Management Agreements, and their fraudulent intent was formed at the moment they signed as Sequoia, through the signatories, "did not intend to perform the promises of 'fiduciary management' or 'first class' service at the time of signing." (2AC ¶¶ 60, 62.) As in the FAC, the representations they allege later proved to be false are covenants made by Sequoia in the Management Agreements. (2AC ¶ 61.) They allege defendants "knew" the representations were false when made or made them with reckless disregard for their truth or falsity. (2AC ¶ 64.) They allege generally that Plaintiffs relied on the "representations" and suffered damages. (2AC ¶ 65.)

Plaintiffs have added allegations in paragraph 63 to try to allege facts to show that the defendants had an intention not to perform the promises made in the Management Agreement when they made the promises, not just that defendants breached their promises after the agreements were made. They allege three facts they contend show a lack of intent to perform at signing: (1) defendants were already using a "systematic practice of fabricating vendor receipts and marking up vendor invoices" in their portfolio of managed properties such that they knew they intended use "this same fraudulent billing scheme" for Plaintiffs' properties, so they did not intend to perform their promise of providing accurate accountings; (2) they knew they were using a shared or insufficient staffing model so they did not intend to perform their promise to provide adequate staffing; and (3) they "concealed" their use of internal management software with "bulk processing of tenant security deposit deductions without regard to statutory requirements," so they did not intend to perform their promise to comply with applicable statutory law. (2AC ¶ 63.)

Again, the Court must accept the allegations as true in ruling on a demurrer. While the Court is not

entirely persuaded that items 2 of 3 above are sufficient to allege false promise, the Court finds that item 1 above alleges defendants' intent to utilize a fraudulent invoicing system in effect when defendants signed the Management Agreements that the demurring defendants knew "fabricated" vendor receipts. The allegations regarding item 1 are enough to support a claim of false promise. (*Daniels, supra*, 246 Cal.App.4th at 1167 and *PH II, supra*, 33 Cal.App.4th at 1682-1683 [to be sustained, demurrer must dispose of an entire cause of action].) They meet the specificity standard for fraud for the reasons stated above with regard to the breach of fiduciary duty cause of action. They allege an intentional tort independent of the Management Agreements because they allege defendants were utilizing a "fraudulent billing scheme" to fabricate vendor receipts and invoices, and a breach of obligation independent of mere negligent performance of a contract term, such that the fraud and intentional misrepresentation cause of action is not barred by the economic loss rule. (*Rattagan, supra*, 17 Cal.5th 1; *Robinson, supra*, 34 Cal.4th 979.)

C. Negligent Interference with Prospective Business Advantage – 4th C/A

The Court addressed the elements of this cause of action in its ruling on the motion for judgment on the pleadings as to the FAC. The elements of a claim for interference with prospective economic advantage are: " '(1) an economic relationship between the plaintiff and some third party, with the probability of future economic benefit to the plaintiff; (2) the defendant's knowledge of the relationship; (3) intentional [or negligent] acts on the part of the defendant designed to disrupt the relationship; (4) actual disruption of the relationship; and (5) economic harm to the plaintiff proximately caused by the acts of the defendant. [Citations.] [Citation.] [Citation.]' [Citation, some internal quotation marks omitted.]" (*Crown Imports, LLC v. Superior Court* (2014) 223 Cal.App.4th 1395, 1404.) To state the cause of action, there must be "an economic relationship between the plaintiff and some third party, with the probability of future economic benefit to the plaintiff." (*Id.*)

The Court in *Redfearn v. Trader Joe's Co.* (2018) 20 Cal.App.5th 989, overruled on other grounds by *Ixchel Pharma, LLC v. Biogen, Inc.* (2020) 9 Cal.5th 1130, 1148, cited by demurring parties stated the third element of a negligent interference cause of action specifically as "(3) the defendant's knowledge (actual or construed) that the relationship would be disrupted if the defendant failed to act with reasonable care." (*Id.* at 1005.) This is consistent with *Crown Imports* which recognized that "[t]he difference between intentional interference and negligent interference with prospective economic advantage relates to the defendant's intent." (*Crown Imports, supra*, 223 Cal.App.4th at 1404 fn. 10.)

1. Ruling on Prior Demurrer

While the Court previously granted Sequoia's motion for judgment on the pleadings as to Plaintiffs' intentional interference with contract claim, the Court denied Sequoia's motion for judgment on the pleadings as to the negligent interference cause of action; but Sequoia is correct that the Court did not address the application of the *Mintz* decision to the negligent interference claim, only the intentional interference claim. (Not. of Rul. filed 12/12/2025.) The Court granted Alder Creek's motion for judgment on the pleadings on this claim.

The Court is cognizant of the apparent conflict between provisions of Code of Civil Procedure section 430.41 addressing successive demurrers and Code of Civil Procedure section 430.80, which provides

that a party does not waive a challenge to a pleading on the ground it does not state facts sufficient to constitute a cause of action. (Code Civ. Proc. § 430.80(a).) The Court finds the latter statute more specific, and therefore controlling, such that Sequoia and Alder Creek are not precluded from challenging this cause of action as legally deficient on the ground that Plaintiffs have not alleged, and cannot allege, facts sufficient to state this cause of action.

2. Specific Incidents and Acts Designed to Disrupt

Demurring defendants argue that Plaintiffs fail to cite any specific incidents of defendants' conduct causing an end to a tenancy. They cite no authority that such a specific, essentially evidentiary allegation, is necessary to state the claim. (*C.A., supra*, 53 Cal.4th at 872 [allegations of ultimate fact sufficient in a complaint].)

Defendants argue that Plaintiffs have not pled that defendants' actions were " 'designed to disrupt the relationship.' " (MPA ISO Dem. p. 12, ll. 3-6.) The statement of the elements of the cause of action in *Crown Imports* from which this language was taken was made in the context of intentional interference with contract. Here, Plaintiffs allege negligent interference. They allege (1) defendants' conduct could not be performed without a direct impact on Plaintiffs' landlord-tenant relationship, (2) "the adverse effect on Plaintiffs' business," i.e., its property rental business, "was clearly foreseeable," and (3) defendants acted "after the probability of damage was known or should have been known" to the defendants. (2AC ¶ 81, 82.) The Court concludes these facts adequately allege the defendants knowledge of the relationship Plaintiffs had with existing and future tenants and "the relationship would be disrupted if defendant failed to act with reasonable care." (*Redfearn, supra*, 20 Cal.App.5th at 1005.)

3. Stranger to the Contract

Demurring parties argue that under *Redfearn*, "one who is not a stranger to a contract cannot be liable in tort for interfering with the performance of the contract" and that the principle applies to a claim for negligent interference with prospective business advantage as well as intentional interference. (*Redfearn, supra*, 20 Cal.App.5th at 995, fn. 1.) As the Court also stated in its prior ruling on the motion for judgment on the pleadings, " '[A] stranger to a contract may be liable in tort for intentionally interfering with the performance of the contract.' [Citation omitted.]" (*Mintz v. Blue Cross of California* (2009) 172 Cal.App.4th 1594, 1603 [quoting *Pacific Gas & Electric Co. v. Bear Stearns & Co.* (1990) 50 Cal.3d 1118, 1126 cited by Plaintiffs].) Subsequent cases hold the phrase means "one who is not a party to the contract or an agent of a party to the contract." [Citation omitted.]" (*Caliber Paving Co., Inc. v. Rexford Industrial Realty & Management, Inc.* (2020) 54 Cal.App.5th 175, 184.) However, "it is settled that 'corporate agents and employees acting for and on behalf of a corporation cannot be held liable for inducing a breach of the corporation's contract.' [Citation omitted.]" (*Mintz, supra*, 172 Cal.App.4th at 1604.)

Plaintiffs allege that they executed Management Agreements with Sequoia to manage their rental properties. Unquestionably, they allege Sequoia was acting as their agent in dealing with existing and prospective tenants. Based on the specific facts noted above, Plaintiffs allege that Alder Creek and Sequoia are alter egos, that they are a single enterprise essentially directed by the same individuals (Mr. Brooks and Ms. Pederson), and that they are agents and employees of one another acting in the

scope of their agency or employment. (2AC ¶ 38.) Under *Redfearn, Mintz*, and other authorities, the demurring defendants have demonstrated they are not strangers to the contracts, specifically Plaintiffs' existing or prospective tenancy relationships, as they are alleged to be acting as agents for Plaintiffs in maintaining existing tenancies and developing prospective tenancies. Plaintiffs have not provided any contrary legal authority that would make the defendants as their agents liable for negligent interference with prospective tenant relationships with Plaintiffs as their principals.

The Court cannot discern how Plaintiffs can amend this cause of action to state a claim against their own agents, given the authorities cited. Plaintiffs have not provided any explanation of how this cause of action could be amended to state a claim against Sequoia or Alder Creek. When a court sustains a demurrer, the Petitioner bears the burden of demonstrating that the pleading can be amended by providing specific facts showing the manner in which it can be amended to state a legally viable claim. (*PGA West Residential Assn. v. Hulven International, Inc.* (2017) 14 Cal.App.5th 156, 189.) (*See also Medina v. Safe-Guard Products, Internat., Inc.* (2008) 164 Cal.App.4th 105, 112 fn. 8.)

D. Constructive Fraud by Broker – 5th C/A

Constructive fraud requires the plaintiff to demonstrate: "(1) a fiduciary relationship, (2) nondisclosure, (3) intent to deceive, and (4) reliance and resulting injury. Constructive fraud is any breach of duty that, without fraudulent intent, gains an advantage to the person at fault by misleading another to his prejudice. [Citations omitted.] Like an action for fraud, constructive fraud must be pled with specificity. [Citation omitted.]" (*Tindell v. Murphy* (2018) 22 Cal.App.5th 1239, 1249-1250.) Because constructive fraud is a form of fraud, the requirement of pleading with specificity applies.

Plaintiffs allege demurring defendants breached their duty to disclose "all material facts regarding the management" of Plaintiffs' properties when they failed to disclose at the time of contracting or in the reports defendants provided (1) defendants' internal staffing models, and (2) defendants' accounting practices, including specifically the use of "bulk processing software for security deposits" and "shared or insufficient staffing model rather than dedicated staff." (2AC ¶ 86.) They allege defendants held and gained a financial advantage over Plaintiffs by receiving management fees for "first class" management services while having significantly reduced overhead and labor costs, and by which defendants provided Plaintiffs "substandard service and exposure to legal liability" while demurring defendants obtained an "artificial and unfair profit margin." (2AC ¶¶ 86, 88.) They allege demurring defendants concealed this information from Plaintiffs and misled them. (2AC ¶ 88.)

The Court finds these allegations sufficiently specific to plead the constructive fraud claim. Plaintiffs have previously identified the individuals (Mr. Brooks and Ms. Pederson) who are allegedly responsible for the defendants' policies, including these accounting practices and staffing challenged in this cause of action. (2AC ¶ 31.) In this claim, they have identified what material information they claim was not disclosed and/or concealed from them, either at the time the contract was made or in the reports defendants provide Plaintiffs. Alleging the material facts were concealed when defendants made their reports provides an implied allegation that the material facts should have been disclosed when demurring defendants made the reports and were not, which is sufficient in this context, particularly since the demurring defendants are the parties who alleged concealed the material information and made the reports omitting the material information. (*Committee on*

Children's Television, supra, 35 Cal.3d at 216; *Alfaro, supra*, (2009) 171 Cal. App. 4th at 1384 [also noting with respect to a fraud claim based on concealment or nondisclosure, " '[I]t is harder to apply this rule to a case of simple nondisclosure. 'How does one show "how" and "by what means" something didn't happen, or "when" it never happened, or "where" it never happened?' "'].) The 2AC fairly apprises demurring defendants of the factual basis for the claim and meets the specificity requirement under the circumstances. (*Randall v. Ditech Financial, LLC, supra*, 23 Cal.App.5th at 810.)

The argument that Plaintiffs could not have relied because the contract was made in August 2021, and they allege the misconduct occurred beginning in the last two years (2AC ¶ 78) does not consider the allegation, liberally construed, that defendants failed to disclose these material facts "in their reports," presumably reports made during the two years preceding the lawsuit. (2AC ¶ 86.)

Demurring defendants argue that they are using "commercially available software used throughout the real estate industry," and that as a result, they owed no duty to disclose that information. (MPA ISO Dem. p. 13, ll. 22-28.) The facts argued are outside the pleadings; in ruling on a demurrer, the Court's "judicial experience" does not extend to such facts.

E. Demurrers for Uncertainty

Demurring parties have made special demurrers for uncertainty to the first, second, fourth and fifth causes of action as well as their general demurrers. Demurrers for uncertainty are disfavored. (*Lickiss v. Financial Industry Regulatory Authority* (2012) 208 Cal.App.4th 1125, 1135; *A.J. Fistes Corp. v. GDL Best Contractors, Inc.* (2019) 38 Cal.App.5th 677, 695 [" '[U]nder our liberal pleading rules, where the complaint contains substantive factual allegations sufficiently apprising defendant of the issues it is being asked to meet, a demurrer for uncertainty should be overruled or plaintiff given leave to amend.' [Citations omitted.]"]). Defendants have not argued why any of the claims are uncertain; they have argued in their general demurrers that some of the claims do not meet the specificity standard for stating fraud claims, which the Court has addressed and rejected above.

Conclusion and Ruling

For the reasons set forth above, Alder Creek's demurrer to the 2AC in its entirety is **OVERRULED**. Sequoia's and Alder Creek's general demurrers to the first, second, and fifth causes of action are **OVERRULED**; their general demurrer to the fourth cause of action is **SUSTAINED, WITHOUT LEAVE TO AMEND**. The special demurrers to the first, second, and fifth causes of action are **OVERRULED**, and to the fourth cause of action the special demurrer is **MOOT** based on the ruling sustaining the general demurrer.

10. 9:00 AM CASE NUMBER: C24-01921
CASE NAME: A-S PIPELINES INC., A CALIFORNIA CORPORATION VS. GOLD COAST PIPELINES, INC. A CALIFORNIA CORPORATION
***HEARING ON MOTION IN RE: SEAL**
FILED BY: DAVID T. SEENO
TENTATIVE RULING:

This matter is continued, sua sponte by the Court, to July 27, 2026, 9:00 am, in Department 34.